Nationwide Microbank Limited

Financial Statements

For the Year Ended 31 December 2022

Nationwide Microbank Limited

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For the Year Ended 31 December 2022

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Nationwide Microbank Limited

Company Information

Registered office address	Ist Floor, Wilson Kamit Building PNG Institute of Banking & Business Management Torobert Training Centre Vanama Crescent Konedobu National Capital District Papua New Guinea
Postal address	PO Box 179 Port Moresby National Capital District Papua New Guinea
Address of service	Ist Floor, Wilson Kamit Building PNG Institute of Banking & Business Management Torobert Training Centre Vanama Crescent Konedobu National Capital District Papua New Guinea
Directors	Paul Mcvincent Nindipa Jason Robert McIlvena Wavie Ruth Anne Kendino Arthur Vera Peter John Aitsi
Chief Executive Officer	Anthony Michael Westaway
Secretary	None
Auditors	PricewaterhouseCoopers PNG PwC Haus, Level 6 Harbour City, Konedobu Port Moresby, NCD Papua New Guinea
Bankers	Kina Bank Bank of South Pacific Limited

Nationwide Microbank Limited

Directors' Report

31 December 2022

The Directors have pleasure in presenting their report together with the financial statements of Nationwide Microbank Limited (MiBank) for the year ended 31 December 2022 and the auditor's report thereon.

Directors
The directors at balance date and up to the date of this report were:

Paul Mcvincent Nindipa
Jason Robert McIlvena
Wavie Ruth Anne Kendino
Arthur Vera
Peter John Aitsi
Carol Kidu (retired on 20 May 2022)
Allan Marlin (retired on 5 April 2022)

Activities
The principal activities of MiBank during the financial year comprised of the provision of banking services including credit and savings to the general public of Papua New Guinea. During the year the Company continued to expand its banking network within Papua New Guinea.

Results
The income of the Company after providing for income tax amounted to K11,423,123 (2021: K12,732,782).

Dividend
No dividend was paid or declared during the year.

Change in accounting policies
There were no changes in accounting policies of the Company during the current year.

Auditors
The financial statements for the Company have been audited by PwC (PNG) and should be read in conjunction with the Independent Auditor's Report as set out on pages 4 to 6.

Interests register
There were no transactions recorded in the interests register during the financial year.

Other disclosure
In compliance with Section 212(3) of the Companies Act 1997 the Company has obtained consent from all of its Shareholders not to disclose to matters required under Section 212(1)(a) and (d) to (j) of the Companies Act 1997.

Matters or circumstances arising after the end of the year
No matters or circumstances have arisen since the end of the financial year which significantly affected or could significantly affect the operations of the Company, the results of those operations or the state of affairs of the Company in future financial years.

For and on behalf of the Board of Directors:

Director: .....

Director: .....

Signed at Port Moresby on this 15th day of March 2023

Nationwide Microbank Limited

Directors' Declaration

1. In the opinion of the Directors of Nationwide Microbank Limited:

   a). the statement of profit or loss and other comprehensive income is drawn up so as to give a true and fair view of the results of the business of the Company for the year ended 31 December 2022;

   b). the statement of financial position is drawn up so as to exhibit a true and fair view of the state of affairs of the Company as at 31 December 2022;

   c). the statement of changes in equity is drawn up to exhibit a true and fair view of the changes in equity for the financial year end 31 December 2022; and

   d). at the date of this statement there are reasonable grounds to believe the Company will be able to pay its debts as and when they fall due.

2. The financial statements have been prepared in accordance with International Financial Reporting Standards as adopted in Papua New Guinea and the Companies Act, 1997 of Papua New Guinea.

3. The key risks facing the Company are identified on a continuous basis. Systems have been established to monitor and manage risk including setting and adhering to a series of prudential limits and by adequate and regular reporting. These risk management systems are operating effectively and are adequate having regard to the risks they are designed to control.

Signed at Port Moresby

For and on behalf of the Board of Directors

Director .....

Director .....

Dated 15th March 2023

Independent auditor's report

To the shareholders of Nationwide Microbank Limited

Report on the audit of the financial statements

Our opinion

We have audited the financial statements of Nationwide Microbank Limited (the Company), which comprise the statement of financial position as at 31 December 2022, and the statement of profit or loss and other comprehensive income, statement of changes in equity and statement of cash flows for the year then ended, and the notes to the financial statements which include a summary of significant accounting policies and other explanatory information.

In our opinion, the accompanying financial statements:

- comply with International Financial Reporting Standards and other generally accepted accounting practice in Papua New Guinea; and
- give a true and fair view of the financial position of the Company as at 31 December 2022, and its financial performance and cash flows for the year then ended.

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (ISAs). Our responsibilities under those standards are further described in the *Auditor's responsibilities for the audit of the financial statements* section of our report.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Independence

We are independent of the Company in accordance with the International Ethics Standards Board for Accountants' *Code of Ethics for Professional Accountants (IESBA Code)*, and we have fulfilled our other ethical responsibilities in accordance with these requirements.

Other than in our capacity as auditor we have no relationship with, or interests in, the Company.

Information other than the financial statements and auditor's report

The directors are responsible for the annual report which includes other information. Our opinion on the financial statements does not cover the other information included in the annual report and we do not and will not express any form of assurance conclusion on the other information.

In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit, or otherwise appears to be materially misstated. If, based on the work we have performed on the other information that we obtained prior to the date of this auditor's report, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Responsibilities of the directors for the financial statements

The directors are responsible, on behalf of the Company, for the preparation of financial statements that give a true and fair view in accordance with International Financial Reporting Standards and other generally accepted accounting practice in Papua New Guinea and the Companies Act 1997, and for such internal control as the directors determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, the directors are responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the directors either intend to liquidate the Company or to cease operations, or have no realistic alternative but to do so.

Auditor's responsibilities for the audit of the financial statements

Our objectives are to obtain reasonable assurance about whether the financial statements, as a whole, are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with the ISAs, we exercise professional judgement and maintain professional scepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.

- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company's internal control.

- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the directors.

- Conclude on the appropriateness of the directors' use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Company to cease to continue as a going concern.

- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant findings, including any significant deficiencies in internal control that we identify during our audit.

Report on other legal and regulatory requirements

The Companies Act 1997 requires that in carrying out our audit we consider and report on the following matters. We confirm in relation to our audit of the financial statements for the year ended 31 December 2022:

- We have obtained all the information and explanations that we have required;
- In our opinion, proper accounting records have been kept by the Company as far as appears from an examination of those records.

Who we report to

This report is made solely to the Company's shareholders, as a body, in accordance with the Companies Act 1997. Our audit work has been undertaken so that we might state to the Company's shareholders those matters which we are required to state to them in an auditor's report and for no other purpose. We do not accept or assume responsibility to anyone other than the Company and the Company's shareholders, as a body, for our audit work, for this report or for the opinions we have formed.



PricewaterhouseCoopers



Jonathan Grasso
Partner
Registered under the Accountants Act 1996

Port Moresby
16 March 2023

Nationwide Microbank Limited

Statement of Financial Position

As At 31 December 2022

	Note	2022 PGK	2021 PGK
ASSETS			
Cash and cash equivalents	10	**29,957,563**	18,004,275
Investments held with Central Bank	11	**49,333,749**	34,890,188
Loans and advances to customers	12	**74,765,101**	74,918,075
Deferred tax assets, net	14	**4,616,850**	6,103,720
Property, plant and equipment	19	**4,734,133**	5,343,360
Right-of-use assets	20	**4,598,854**	6,615,653
Goodwill	21	**-**	1,616,973
Other assets	13	**4,998,476**	6,854,969
TOTAL ASSETS		**173,004,726**	154,347,213
LIABILITIES			
Deposits from customers	15	**126,293,183**	118,221,180
Other liabilities	16	**6,174,223**	5,648,580
Provisions	17	**1,767,041**	1,023,187
Lease liabilities	20	**4,911,689**	7,046,350
Borrowings	18	**3,942,898**	3,915,347
TOTAL LIABILITIES		**143,089,034**	135,854,644
NET ASSETS		**29,915,692**	18,492,569
EQUITY			
Share capital	22	**15,263,526**	15,263,526
Retained earnings		**14,652,166**	3,229,043
TOTAL SHAREHOLDER EQUITY		**29,915,692**	18,492,569

Signed at Port Moresby

For and on behalf of the Board of Directors

Director .....

Director .....

The accompanying notes form part of these financial statements.

Statement of Profit or Loss and Other Comprehensive Income

For the Year Ended 31 December 2022

	Note	2022 PGK	2021 PGK
Interest income	4	**52,812,772**	46,809,176
Interest expenses and other related charges	5	**(2,902,740)**	(2,879,204)
Net interest income		**49,910,032**	43,929,972
Fees and commission income	6	**8,606,906**	8,413,586
Investment income	7	**1,760,599**	1,328,567
Other operating income	8	**541,770**	153,853
Net operating income		**60,819,307**	53,825,978
Personnel expenses	9(a)	**(14,215,202)**	(11,834,169)
Depreciation	19,20	**(3,948,718)**	(4,245,576)
Impairment of financial assets	12	**(15,873,257)**	(15,138,759)
Operating expenses	9(b)	**(13,545,468)**	(11,228,946)
Finance cost on leases	20	**(326,669)**	(420,721)
Income before tax from operating income		**12,909,993**	10,957,807
Income tax (expense)/benefit	14	**(1,486,870)**	1,774,975
Income for the year		**11,423,123**	12,732,782
Other comprehensive income		**-**	-
Total comprehensive income for the year		**11,423,123**	12,732,782

The accompanying notes form part of these financial statements.

Nationwide Microbank Limited

Statement of Changes in Equity
For the Year Ended 31 December 2022

	Note	Ordinary Shares PGK	Retained Earnings/ (Deficit) PGK	Total PGK
Balance at 1 January 2021	22	15,263,526	(9,503,739)	5,759,787
Income for the year		-	12,732,782	12,732,782
Other comprehensive income		-	-	-
Balance at 31 December 2021	22	**15,263,526**	**3,229,043**	**18,492,569**
Income for the year		-	**11,423,123**	**11,423,123**
Other comprehensive income		-	-	-
Balance at 31 December 2022	22	**15,263,526**	**14,652,166**	**29,915,692**

The accompanying notes form part of these financial statements.

Statement of Cash Flows
For the Year Ended 31 December 2022

	Note	2022 PGK	2021 PGK
CASH FLOWS FROM OPERATING ACTIVITIES:			
Income before tax		**12,909,993**	10,957,807
Adjustments for:			
Depreciation of property, plant and equipment and right-of-use assets	19,20	**3,948,718**	4,245,576
Finance cost on leases	20	**326,669**	420,721
Gain on disposal of property, plant and equipment	8	**(146,000)**	(64,092)
Impairment losses on loans and advances	12	**15,873,257**	15,138,759
Amortization of Esiloan premium	9b	**-**	1,829,517
PML Goodwill write-off	9b	**1,616,973**	-
Write-off of other assets		**385,850**	-
Other non-cash items included in profit before tax		**27,553**	60,227
Movement in working capital			
Increase in loans and advances to customers		**(15,720,283)**	(9,079,625)
Increase in other assets		**(2,549,308)**	(2,008,841)
Increase in deposits from customers		**8,072,002**	4,215,739
Increase in other liabilities		**139,793**	888,013
Increase in provisions		**743,854**	10,704
Net cash provided by operating activities		**25,629,071**	26,614,505
CASH FLOWS FROM INVESTING ACTIVITIES:			
Proceeds on disposal of property, plant and equipment		**146,000**	83,501
Purchase of property, plant and equipment	19	**(1,322,692)**	(2,155,878)
Cash received from PNG Sustainable Development Program (PNGSDP)		**4,405,800**	3,751,877
Purchase of government securities		**(158,318,249)**	(94,638,008)
Disposal of government securities		**143,874,688**	84,336,806
Net cash used in investing activities		**(11,214,453)**	(8,621,702)
CASH FLOWS FROM FINANCING ACTIVITIES:			
Payment of lease liabilities	20	**(2,134,661)**	(2,534,673)
Finance cost paid	20	**(326,669)**	(420,721)
Repayment of Kina Bank overdraft facility		**-**	(14,328,745)
Net cash used in financing activities		**(2,461,330)**	(17,284,139)
Net increase in cash and cash equivalents held		**11,953,288**	708,664
Cash and cash equivalents at beginning of year		**18,004,275**	17,295,611
Cash and cash equivalents at end of financial year	10	**29,957,563**	18,004,275

The accompanying notes form part of these financial statements.

Notes to the Financial Statements
For the Year Ended 31 December 2022

1 General

Nationwide Microbank Limited (MiBank or the Company) is a Company incorporated in Papua New Guinea. The addresses of its registered office and principal place of business are disclosed in the introduction to the financial report. The principal activity of the Company is to provide financial services to the unbanked people of Papua New Guinea.

The financial statements have been approved for issue by the Board of Directors on 15 March 2023.

(a) Statement of compliance

The financial statements of the Company are prepared in accordance with the applicable financial reporting standards to the extent that IFRS complies with Bank of Papua New Guinea prudential standards, other mandatory professional reporting requirements approved for use in Papua New Guinea and the Companies Act 1997. IFRS are Standards and Interpretations developed and approved by the International Accounting Standards Board (IASB).

(b) Basis of accounting

The financial statements have been prepared on the historical cost basis except for certain financial instruments that are measured at fair value at the end of each reporting period as explained in the accounting policies below.

The financial statements are presented in the Papua New Guinea Kina, which is the Company's functional and presentation currency.

The preparation of financial statements in conformity with IFRS requires the use of certain critical accounting estimates. It also requires management to exercise its judgement in the process of applying the Company's accounting policies. The areas involving a higher degree of judgement or complexity, or areas where assumptions and estimates are significant to the financial statements are disclosed in note 1(c).

(c) Critical estimates and judgements

Estimates and judgments are continually evaluated and are based on historical experience and other factors, including expectations of future events that may have a financial impact on the entity and that are believed to be reasonable under the circumstances.

Judgments

Information about judgements made in applying accounting policies that have the most significant effect on the amounts recognised in the financial statements include the following:

- establishing the criteria for determining whether credit risk on the financial asset has increased significantly since initial recognition, determining the methodology for incorporating forward looking information into the measurement of Expected Credit Loss (ECL) and selection and approval of the model used to measure ECL; and
- the assessment of the business model used for the classification of financial assets and assessment of whether the contractual terms of the financial asset are solely for the purpose of principal and interest (SPPI) on the principal amount outstanding.

Notes to the Financial Statements
For the Year Ended 31 December 2022

1 General (continued)

(c) Critical estimates and judgements (continued)

Assumptions and estimation uncertainties

The Company makes estimates and assumptions concerning the future. The resulting accounting estimates will, by definition, seldom equal the related actual results. The estimates and assumptions that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year are discussed below:

- impairment of financial instruments – the determination of inputs into the ECL measurement model, including key assumptions used in estimating recoverable cash flows and the incorporation of forward-looking information; and
- recognition and measurement of contingencies - the key assumptions about the likelihood and magnitude of an outflow of resources.

Detailed information about the judgements and estimates made by the Bank in the above areas is set out in note 24a.

(d) Comparative amounts

Where necessary, comparative figures have been adjusted to conform to current disclosure and reclassification of balances. This has not resulted in any adjustment to net assets or retained earnings.

(e) Going Concern

Management prepared the financial statements on a going concern basis. In making this judgement management considered the Company's financial position, current intentions, profitability of operations and access to financial resources, and analysed the impact of the recent macroeconomic developments on future operations of the Company.

2 Significant accounting policies

The Company has consistently applied the following accounting policies to all periods presented in the financial statements.

(a) Revenue recognition

Revenue is recognised to the extent that it is probable that the economic benefits will flow to the Company and the revenue can be reliably measured. The following specific recognition criteria must also be met before revenue is recognised.

Interest income and expense

Interest income and expense are recognised in the income statement on an effective interest rate ("EIR") basis. The EIR is the rate that, at the inception of the financial asset or liability, exactly discounts expected future cash payments and receipts over the expected life of the instrument back to the initial carrying amount. When calculating the EIR, the Company estimates cashflows considering all contractual terms of the instrument (for example, prepayment options) but does not consider the assets' future credit losses.

At each reporting date, management makes an assessment of the expected remaining life of its financial assets, including any acquired loan portfolios and where there is a change in those assessments, the remaining amount of any unamortised discount or premiums is adjusted so that the interest income continues to be recognised prospectively on the amortised cost of the financial asset at the original EIR. The adjustment is recognised within interest income in the income statement for the current period.

Notes to the Financial Statements
For the Year Ended 31 December 2022

2 Significant accounting policies (continued)

(a) Revenue recognition (continued)

The calculation of the EIR includes all transaction costs and fees, paid or received, that are an integral part of the interest rate together with the discounts or premium arising on the acquisition of loan portfolios. Transaction costs include incremental costs that are directly attributable to the acquisition or issue of a financial asset or liability.

Interest on financial assets and financial liabilities is measured at amortised cost and is calculated on an EIR basis.

Fees and commission income and expense

Fee and commission income includes fees relating to services provided to customers which do not meet the criteria for inclusion within interest income.

Other fee and commission income includes fees charged for mortgage services, arrears and other fees.

Fee income is recognised as the related services are performed.

Investment income

Interest income earned from financial assets that are held for cash management purposes is presented as investment income.

(b) Cash and cash equivalents

'Cash and cash equivalents' include notes and coins on hand, unrestricted balances held with Central Bank and highly liquid financial assets held with commercial bank with original maturities of three months or less from the date of acquisition that are subject to an insignificant risk of changes in their fair value, and are used by the Company in the management of its short-term commitments.

Cash and cash equivalents are carried at amortised cost in the statement of financial position.

(c) Property, plant and equipment

Property, plant and equipment are measured on the cost basis less accumulated depreciation and impairment losses. Where it meets the definition of an asset, the cost of improvements to leasehold premises is capitalised and amortised over the estimated useful life of the improvement concerned.

Depreciation is calculated on a straight-line basis from the date of acquisition at rates appropriate to the estimated useful lives as follows:

Furniture and fittings	20%
Motor vehicles	20%
Equipment	20%
Leasehold improvements	20%

Gains or losses on disposal (being the difference between the carrying amount at the time of sale and the proceeds of disposal) are taken to income in the year.

Notes to the Financial Statements
For the Year Ended 31 December 2022

2 Significant accounting policies (continued)

(d) Impairment of non-financial assets

Property and equipment are tested for impairment whenever there is any objective evidence or indication that these assets may be impaired.

If the recoverable amount of the asset is estimated to be less than its carrying amount, the carrying amount of the asset is reduced to its recoverable amount. The difference between the carrying amount and recoverable amount is recognised as an impairment loss in profit or loss.

An impairment loss for an asset is reversed if, and only if, there has been a change in the estimates used to determine the asset's recoverable amount since the last impairment loss was recognised. The carrying amount of this asset is increased to its revised recoverable amount, provided that this amount does not exceed the carrying amount that would have been determined (net of accumulated depreciation) had no impairment loss been recognised for the asset in prior years. A reversal of impairment loss for an asset is recognised in profit or loss.

(e) Goodwill

Goodwill is measured at cost less impairment losses. Goodwill is calculated as the excess of the cost of acquisition over the fair value of the net identifiable assets.

Goodwill has indefinite expected life and not amortised but is reviewed for impairment at least annually. For the purpose of impairment testing, goodwill is allocated to each of the Company's cash-generating units (or group of cash-generating units) expected to benefit from the synergies of the combination. Cash-generating units to which goodwill has been allocated are tested for impairment annually, or more frequently when there is an indication that the unit may be impaired. If the recoverable amount of the cash-generating unit is less than the carrying amount of the unit, the impairment loss is allocated first to reduce the carrying amount of any goodwill allocated to the unit and then to the other assets of the unit pro-rata on the basis of the carrying amount of each asset in the unit. An impairment loss recognised for goodwill is not reversed in a subsequent period.

On disposal of a cash-generating unit, the attributable amount of goodwill is included in the determination of the profit or loss on disposal.

(f) Income tax

Income tax expense on the profit for the year comprises current tax and the movement in deferred tax balance.

Current tax is the expected tax payable on the taxable income for the financial year using tax rates that have been enacted or substantively enacted for PNG at the reporting date, and any adjustment to tax payable in respect of previous years.

Deferred tax is recognised in respect of temporary differences between the carrying amounts of assets and liabilities in the financial statements and the corresponding amounts used for taxation purposes.

Deferred tax assets and liabilities are not recognised if the temporary difference arises from goodwill or other intangible assets with indefinite expected life, the initial recognition of assets and liabilities that affect neither accounting nor taxable profit (other than in a business combination), or differences relating to investments in subsidiaries to the extent that they will probably not reverse in the foreseeable future. The amount of deferred tax provided is based on the expected manner of realisation or settlement of the carrying amount of assets and liabilities, using tax rates that have been enacted or substantively enacted for PNG at the reporting date that are expected to apply when the liability is settled or the asset is realised.

Notes to the Financial Statements
For the Year Ended 31 December 2022

2 Significant accounting policies (continued)

(f) Income tax (continued)

Current and deferred taxes attributable to amounts recognised in other comprehensive income are also recognised in other comprehensive income.

Except as noted above, deferred tax liabilities are recognised for all taxable temporary differences and deferred tax assets are recognised to the extent that it is probable that future taxable profits will be available against which the asset can be utilised.

(g) Employee benefits

Employee provisions comprise liabilities for employee benefits arising from services rendered by employees at the reporting date. Employee benefits have maturities of both less than one year and greater than one year and have been measured at the amounts expected to be paid when the liability is settled plus related on-costs.

Superannuation contributions are made by the Company to the defined contribution fund.

(h) Leases

At inception of a contract, the Company assesses whether a contract is, or contains, a lease. A contract is, or contains, a lease if the contract conveys the right to control the use of an identified asset for a period of time in, exchange for consideration.

As a lessee

At commencement or on modification of a contract that contains a lease component, the Company allocates the consideration in the contract to each lease component on the basis of its relative stand-alone prices. However, for the leases of property, the Company has elected not to separate non-lease components and account for the lease and non-lease components as a single lease component.

The Company recognises a right-of-use asset and a lease liability at the lease commencement date. The right-of-use asset is initially measured at cost, which comprises the initial amount of the lease liability adjusted for any lease payments made at or before the commencement date, plus any initial direct costs incurred and an estimate of costs to dismantle and remove the underlying asset or to restore the underlying asset or the site on which it is located, less any lease incentives received.

The right-of-use asset is subsequently depreciated using the straight-line method from the commencement date to the end of the lease term, unless the lease transfers ownership of the underlying asset to the Company by the end of the lease term or the cost of the right-of-use asset reflects that the Company will exercise a purchase option. In that case the right-of-use asset will be depreciated over the useful life of the underlying asset, which is determined on the same basis as those of property, plant and equipment. In addition, the right-of-use asset is periodically reduced by impairment losses, if any, and adjusted for certain remeasurements of the lease liability.

The lease liability is initially measured at the present value of the lease payments that are not paid at the commencement date, discounted using the interest rate implicit in the lease or, if that rate cannot be readily determined, the Company's incremental borrowing rate. Generally, the Company uses its incremental borrowing rate as the discount rate.

The Company determines its incremental borrowing rate by obtaining interest rates from various external financing sources and makes certain adjustments to reflect the terms of the lease and type of the asset leased.

Notes to the Financial Statements
For the Year Ended 31 December 2022

2 Significant accounting policies (continued)

(h) Leases (continued)

As a lessee (continued)

Lease payments included in the measurement of the lease liability comprise the following:

- fixed payments, including in-substance payments;
- variable lease payments that depend on an index or a rate, initially measured using the index or rate as at the commencement date;
- amounts expected to be payable under a residual value guarantee; and
- the exercise price under a purchase option that the Company is reasonably certain to exercise an extension option, and penalties for early termination of a lease unless the Company is reasonably certain not to terminate early.

The lease liability is measured at amortised cost using the effective interest method. It is remeasured when there is a change in future lease payments arising from a change in an index or rate, if there is a change in the Company's estimate of the amount expected to be payable under a residual value guarantee, if the Company changes its assessment of whether it will exercise a purchase, extension or termination option or if there is a revised in-substance fixed lease payment.

When the lease liability is remeasured in this way, a corresponding adjustment is made to the carrying amount of the right-of-use asset, or is recorded in profit or loss if the carrying amount of the right-of-use asset has been reduced to zero.

Short-term leases and leases of low- value assets

The Company has elected not to recognise right-of-use assets and lease liabilities for leases of low-value assets and short-term leases, including IT equipment (i.e., below $5,000 or its kina equivalent or within 12 months). The Company recognises the lease payments associated with these leases as an expense on a straight-line basis over the lease term.

At inception or on modification of a contract that contains a lease component, the Company allocates the consideration in the contract to each lease component on the basis of their relative stand-alone prices.

(i) Loans and advances to customers

Loans and advances to customers include:

- those that are measured at amortised cost. These are initially measured at fair value plus incremental direct transaction costs, and subsequently at their amortised cost using the effective interest method; and
- those that measured at FVTPL, or designated as at FVTPL are measured at fair value with changes recognised immediately in profit or loss.

When the Company purchases a financial asset and simultaneously enters into an agreement to resell the asset (or a substantially similar asset) at a fixed price on a future date, the consideration paid is accounted for as a loan or advance, and the underlying asset is not recognised in the Company's financial statements.

Notes to the Financial Statements
For the Year Ended 31 December 2022

2 Significant accounting policies (continued)

(j) Provisions

Provisions are recognised when the Company has a present legal or constructive obligation as a result of past events; it is probable that an outflow of resources will be required to settle the obligation and the amount can be reliably estimated. Provisions are not recognised for future operating losses. Where there are a number of similar obligations, the likelihood that an outflow will be required in settlement is determined by considering the class of obligations as a whole. A provision is recognised even if the likelihood of an outflow with respect to any one item included in the same class of obligations may be small.

Provisions payable later than one year have been measured at the present value by discounting the expected future cash outflows at a pre-tax rate that reflects current market assessment of the time value of money and the risks specific to the liability. The unwinding of the discount is recognised as financing costs.

(k) Business combination

The Company accounts for business combinations using the acquisition method when the acquired set of activities and assets meets the definition of a business and control is transferred to the Company.

In determining whether a particular set of activities and assets is a business, the Company assesses whether the set of assets and activities acquired includes, at a minimum, an input and substantive process and whether the acquired set has the ability to produce outputs. The Company has an option to apply a 'concentration test' that permits a simplified assessment of whether an acquired set of activities and assets is not a business. The optional concentration test is met if substantially all of the fair value of the gross assets acquired is concentrated in a single identifiable asset or Company of similar identifiable assets.

The consideration transferred in the acquisition is generally measured at fair value, as are the identifiable net assets acquired. Any goodwill that arises is tested annually for impairment. Any gain on a bargain purchase is recognised in profit or loss immediately. Transaction costs are expensed as incurred, except if related to the issue of debt or equity securities.

The consideration transferred does not include amount related to the settlement of pre-existing relationships. Such amounts are generally recognised in profit or loss.

Any contingent consideration is measured at fair value at the date of acquisition. If any obligation to pay contingent consideration that meets the definition of a financial instrument is classified as equity, then it is not remeasured and settlement is accounted for within equity. Otherwise, other contingent consideration is remeasured at fair value at each reporting date and subsequent changes in the value of the contingent consideration are recognised in profit or loss.

(l) Share capital

Ordinary shares are classified as equity. Incremental costs directly attributable to the issue of new shares are shown in equity as a deduction, net of tax, from the proceeds.

(m) Financial assets and financial liabilities

(i) Recognition and initial measurement

The Company initially recognises loans and advances, deposits, debt securities issued and subordinated liabilities on the date on which they are originated. All other financial instruments (including regular way purchases and sales of financial assets) are recognised on the trade date, which is the date on which the Company becomes a party to the contractual provisions of the instrument.

2 Significant accounting policies (continued)

(m) Financial assets and financial liabilities (continued)

(ii) Classification

On initial recognition, a financial asset is classified as measured at amortised cost, fair value through other comprehensive income (FVOCI) or fair value through profit or loss (FVTPL).

A financial asset is measured at amortised cost if it meets both of the following conditions and is not designated as at FVTPL:

- the asset is held within a business model whose objective is to hold to collect; and
- the contractual terms of the financial asset give rise on specific dates to cash flows that are SPPI.

A debt instrument is measured at FVOCI only if it meets both of the following conditions and is not designated as at FVTPL:

- the asset is held within a business model whose objective is achieved by both collecting contractual cash flows and selling financial assets; and
- the contractual terms of the financial asset give rise on specified dates to cash flows that are SPPI.

On initial recognition of an equity investment that is not held-for-trading, the Company may irrevocably elect to present subsequent changes in fair value in OCI. This election is made on an investment-by-investment basis.

All other financial assets are classified as measured at FVTPL.

In addition, on initial recognition, the Company may irrevocably designate a financial asset that otherwise meets the requirements to be measured at amortised cost or at FVOCI as at FVTPL if doing so eliminates or significantly reduces an accounting mismatch that would otherwise arise.

Business model assessment

The Company makes an assessment of the objective of a business model in which an asset is held at a portfolio level because this best reflects the way the business is managed and information is provided to management. The information considered includes:

- the stated policies and objectives for the portfolio and the operation of those policies in practice. In particular, whether management's strategy focuses on earning contractual interest revenue, maintaining a particular interest rate profile, matching the duration of the financial assets to the duration of the liabilities that are funding those assets or realising cash flows through the sale of assets;
- how the performance of the portfolio is evaluated and reported to the Company's management;
- the risks that affect the performance of the business model (and the financial assets held within that business model) and its strategy for how those risks are managed;
- how managers of the business are compensated (e.g., whether compensation is based on the fair value of the assets managed or contractual cash flows collected; and
- the frequency, volume and timing of sales in prior period, the reasons for such sales and its expectation about future sales activity. However, information about sales activity is not considered in isolation, but as part of an overall assessment of how the Company's stated objective for managing the financial assets is achieved and how cash flows are realised.

Notes to the Financial Statements
For the Year Ended 31 December 2022

2 Significant accounting policies (continued)

(m) Financial assets and financial liabilities (continued)

(ii) Classification (continued)

The Company's business comprises primarily loans to customers that are held for collecting contractual cash flows. Sales of loans from these portfolios are very rare.

Financial assets that are held-for-trading or managed and whose performance is evaluated on a fair value basis are measured at FVTPL because they are neither held to collect contractual cash flows nor held both to collect contractual cash flows and to sell financial assets.

Assessment of whether contractual cash flows are solely payments of principal and interest

For the purpose of this assessment, 'principal' is defined as the fair value of the financial assets on initial recognition. 'Interest' is defined as consideration for the time value of money and for the credit risk associated with the principal amount outstanding during a particular period of time and for other basic lending risks and costs (e.g., liquidity risk and administrative costs), as well as profit margin.

In assessing whether the contractual cash flows are SPPI, the Company considers the contractual terms of the instrument. This includes assessing whether the financial asset contains a contractual term that could change the timing or amount of contractual cash flows such that it would not meet this condition. In making the assessment, the Company considers:

- contingent events that would change the amount and timing of cash flows;
- leverage features;
- prepayment and extension terms;
- terms that limit the Company's claim to cash flows from specified assets (e.g., non-recourse loans); and
- features that modify consideration of the time value of money (e.g., periodical reset of interest rates).

(iii) Derecognition

Financial assets

The Company derecognises a financial asset when the contractual rights to the cash flows from the financial asset expire, or it transfers the rights to receive the contractual cash flows in a transaction in which substantially all of the risks and rewards of ownership of the financial asset are transferred or in which the Company neither transfers nor retains substantially all of the risks and rewards of ownership and it does retain control of the financial asset.

On derecognition of a financial asset, the difference between the carrying amount of the asset (or the carrying amount allocated to the portion of the asset derecognised) and the sum of (i) the consideration received (including any new asset obtained less any new liability assumed) and (ii) any cumulative gain or loss that had been recognised in OCI is recognised in profit or loss.

Any cumulative gain / loss recognised in OCI in respect of equity investment securities designated as at FVOCI is not recognised in profit or loss on derecognition of such securities. Any interest in transferred financial assets that qualify for derecognition that is created or retained by the Company is recognised as a separate asset or liability.

Financial liabilities

The Company derecognises a financial liability when the contractual obligations are discharged or cancelled, or expire.

Notes to the Financial Statements
For the Year Ended 31 December 2022

2 Significant accounting policies (continued)

(m) Financial assets and financial liabilities (continued)

(iv) Modifications of financial assets and financial liabilities

Financial assets

If the terms of a financial asset are modified, then the Company evaluates whether the cash flows of the modified asset are substantially different.

If the cash flows are substantially different, then the contractual rights to cash flows from the original financial asset are deemed to have expired. In the case, the original financial asset is derecognised and a new financial asset is recognised at fair value plus any eligible transaction costs. Any fees received as part of the modification are accounted for as follows:

- fees that are considered in determining the fair value of the new asset and fees that represent reimbursement of eligible transaction costs are included in the initial measurement of the asset; and
- other fees are included in profit or loss as part of the gain or loss on derecognition.

If cash flows are modified when the borrower is in financial difficulties, then the objective of the modification is usually to maximise recovery of the original contractual terms rather than to originate a new asset with substantially different terms. If the Company plans to modify a financial asset in a way that would result in forgiveness of cash flows, then it first considers whether a portion of the asset should be written off before the modification takes place. This approach impacts the result of the quantitative evaluation and mean that the derecognition criteria are not usually met in such cases.

If the modification of a financial asset measured at amortised cost or FVOCI does not result in derecognition of the financial asset, then the Company first recalculates the gross carrying amount of the financial asset using the original effective interest rate of the asset and recognises the resulting adjustment as a modification gain or loss in profit or loss. For floating-rate financial assets, the original effective interest rate used to calculate the modification gain or loss is adjusted to reflect current market terms at the time of the modification. Any costs or fees incurred and modification fees received adjust the gross carrying amount of the modified financial asset and are amortised over the remaining term of the modified financial asset.

The Company derecognises a financial liability when its terms are modified and the cash flows of the modified liability are substantially different. In this case, a new financial liability based on the modified terms is recognised at fair value. The difference between the carrying amount of the financial liability derecognised and the consideration paid is recognised in profit or loss. Consideration paid includes non-financial assets transferred, if any, and the assumption of liabilities, including the new modified financial liability.

Financial liabilities

If the modification of a financial liability is not accounted for as derecognition, then the amortised cost of the liability is recalculated by discounting the modified cash flows at the original effective interest rate and the resulting gain or loss is recognised in profit or loss. For floating rate financial liabilities, the original effective interest rate used to calculate the modification gain or loss is adjusted to reflect current market terms at the time of the modification. Any costs and fees incurred are recognised as an adjustment to the carrying amount of the liability and amortised over the remaining terms of the modified financial liability by re computing the effective interest rate on the instrument.

2 Significant accounting policies (continued)

(m) Financial assets and financial liabilities (continued)

(v) Offsetting

Financial assets and financial liabilities are offset and the net amount presented in the statement of financial position when, and only when, the Company currently has a legally enforceable right to set off the amounts and it intends either to settle them on a net basis or to realise the asset and settle the liability simultaneously.

(vi) Fair value measurement

'Fair value' is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date or, in its absence, the most advantageous market to which the Company has access at that date. The fair value of a liability reflects its non-performance risk.

When one is available, the Company measures the fair value of the instrument using the quoted price in an active market for that instrument. A market is regarded as 'active' if transactions for the asset or liability takes place with sufficient frequency and volume to provide pricing information on an ongoing basis.

If there is no quoted price in an active market, then the Company uses valuation techniques that maximise the use of relevant observable inputs and minimise the use of unobservable inputs. The chosen valuation technique incorporates all of the factors that market participants would take into account in pricing a transaction.

The best evidence of the fair value of a financial instrument or initial recognition is normally the transaction price- i.e., the fair value of the consideration given or received. If the Company determines that the fair value on initial recognition differs from the transaction price and the fair value is evidenced neither by a quoted price in an active market for an identical asset or liability nor based on a valuation technique for which any unobservable inputs are judged to be insignificant in relation to the difference, then the financial instrument is initially measured at fair value, adjusted to defer the difference between the fair value on initial recognition and the transaction price. Subsequently, that difference is recognised in profit or loss on an appropriate basis over the life of the instrument but not later than when the valuation is wholly supported by observable market data or the transaction is closed out.

The fair value of a financial liability with a demand feature (e.g., a demand deposit) is not less than the amount payable on demand, discounted from the first date on which the amount could be required to be paid.

The Company recognises transfers between levels of the value hierarchy as of the end of the reporting period during which the change has occurred.

(vii) Impairment

The Company recognises the loss allowances for ECL on the following financial instruments that are not measured at FVTPL:

- financial assets that are debt instruments;
- financial guarantee contracts issued;
- loan commitment issued; and
- no impairment loss is recognised on equity investments.

Notes to the Financial Statements
For the Year Ended 31 December 2022

2 Significant accounting policies (continued)

(m) Financial assets and financial liabilities (continued)

(vii) Impairment (continued)

The Company measures loss allowances at an equal to lifetime ECL, except for the following, for which they are measured as 12-months ECL:

- debt investment securities that are determined to have low credit risk at the reporting date; and
- other financial instruments on which credit risk has not increased significantly since their initial recognition.

The Company considers a debt investment security to have low credit risk when its credit risk rating is equivalent to the globally understood definition of 'investment grade'. The Company does not apply the low credit risk exemption to any other financial instruments.

12-month ECL is a portion of lifetime ECL that result from default events on a financial instrument that are possible within the 12-months after the reporting date. Financial instruments for which 12-month ECL are recognised are referred to as 'Stage 1 financial instruments'. Financial instruments allocated to Stage 1 have not undergone a significant increase in credit risk since initial recognition and are not credit-impaired.

Lifetime ECL are the ECL that result from all possible default events over the expected life of the financial instrument or the maximum contractual period of exposure. Financial instruments for which a lifetime ECL are recognised and are not credit impaired are referred to as 'Stage 2 financial instruments'. Financial instruments allocated to Stage 2 are those that have experienced a significant increase in credit risk since initial recognition but are not credit impaired.

Financial instruments for which lifetime ECL are recognised and that are credit-impaired are referred to as 'Stage 3 financial instruments'.

Measurement of ECL

ECL are a probability-weighted-estimate of credit losses. They are measured as follows:

- financial assets that are not credit-impaired at the reporting date, as the present value of all cash shortfalls (i.e. the difference between the cash flows due to the Company in accordance with the contract and the cash flows that the Company expects to receive);
- financial assets that are credit-impaired at the reporting date, as the difference between the gross carrying amount and the present value of estimated future cash flows;
- undrawn loan commitments: as the present value of the difference between the contractual cash flows that are due to the Company if the commitment is drawn down and the cash flows that the Company expects to receive; and
- financial guarantee contracts, the expected payments to reimburse the holder less any amounts that the Company expects to recover.

When discounting future cash flows, the original effective interest rate or an approximation thereof is used.

Notes to the Financial Statements
For the Year Ended 31 December 2022

3 Changes in accounting policies and disclosures

(a) New and amended standards, and interpretations mandatory for the first time for the financial year ended 31 December 2022

- A number of narrow-scope amendments to IFRS 3, IAS 16, IAS 37 and some annual improvements on IFRS 1, IFRS 9, IAS 41 and IFRS 16
- Amendment to IFRS 16, 'Leases' – Covid-19 related rent concessions (extension of time period).
- IFRIC Agenda Decision - Lessor forgiveness of lease payments

These changes did not have any material impact on the Company.

(b) New standards, amendments and interpretations issued but not effective for the financial year ended 31 December 2022 and not early adopted

- Narrow scope amendments to IAS 1, Practice statement 2 and IAS 8
- Amendment to IAS 12 – Deferred tax related to assets and liabilities arising from a single transaction
- Amendment to IFRS 16 - Sale and leaseback transactions
- Amendment to IAS 1 - Noncurrent liabilities subject to covenants
- IFRS 17: 'Insurance contracts'.

The Company has conducted investigations and does not consider that there are any measurement or recognition issues arising from the release of these new pronouncements that will have a significant impact on the reported financial position or financial performance of the Company.

4 Interest income

	2022 PGK	2021 PGK
Interest income from loans and advances to customers	**52,812,772**	46,809,176

5 Interest expenses and other related charges

Interest expense on deposits from customers	**2,241,556**	1,985,331
Interest expense on borrowing	**132,480**	315,088
Commission expense	**528,704**	578,785
	2,902,740	2,879,204

6 Fees and commission income

Account services	**6,145,104**	5,417,193
Penalty	**893,213**	1,522,782
Transactional	**1,568,589**	1,473,611
	8,606,906	8,413,586

7 Investment income

Interest income on investments held with Central Bank	**1,760,599**	1,328,567

Notes to the Financial Statements
For the Year Ended 31 December 2022

8 Other operating income

	2022 PGK	2021 PGK
Gain from the sale of assets	**146,000**	64,092
Grants and donations received	**-**	76,881
Cheques dishonoured charges	**9,920**	12,880
Other income	**385,850**	-
	541,770	153,853

Other income is mostly comprised of write-offs of reimbursement cost.

9 Expenses

(a) Personnel expenses

Salaries and wages	**12,881,234**	10,782,205
Directors' fees	**475,114**	423,478
Staff training	**254,118**	263,522
Travel and accommodation	**523,788**	306,230
Other staff benefits	**80,948**	58,734
	14,215,202	11,834,169

(b) Operating expenses

Telephone and internet	**2,204,185**	1,922,798
Amortisation of Esiloan premium	**-**	1,829,517
Professional fees	**927,934**	1,118,177
Security costs	**1,101,610**	1,110,879
Office expenses	**1,209,155**	1,109,649
Repairs and maintenance	**892,957**	800,307
Occupancy costs	**758,382**	693,163
Fees and registration	**463,600**	560,133
Insurance	**647,290**	491,217
Advertising and promotions	**771,755**	303,669
Audit fees	**213,312**	210,000
Subscriptions	**89,979**	58,499
Recruitment	**48,501**	23,531
Other expenses	**2,599,835**	997,407
PML goodwill write-off	**1,616,973**	-
	13,545,468	11,228,946

Comparative period amounts have been restated to conform to presentation in the current year.

Other expenses are mostly comprised of write-offs of other assets.

Notes to the Financial Statements
For the Year Ended 31 December 2022

10 Cash and cash equivalents

	2022 PGK	2021 PGK
Cash at bank	**28,929,710**	17,049,182
Cash on hand	**1,027,853**	955,093
	29,957,563	18,004,275

11 Investments held with Central Bank

Investments at amortized cost	**49,780,000**	35,420,000
Unearned interest	**(446,251)**	(529,812)
	49,333,749	34,890,188

12 Loans and advances to customers

Loans and advances to customers	**90,454,978**	87,896,376
Less: Allowances for impairment losses	**(15,689,877)**	(12,978,301)
	74,765,101	74,918,075

The lifetime expected loss provision for loans and advances to customers is as follows:

31 December 2022	Current PGK	More than 30 days PGK	More than 60 days PGK	More than 90 days PGK	Total PGK
Expected loss rate	**0.75%**	**0.58%**	**4.03%**	**60.09%**	
Gross carrying amount	**62,388,919**	**1,872,969**	**943,399**	**25,249,691**	**90,454,978**
Loss provision	**469,185**	**10,828**	**38,037**	**15,171,827**	**15,689,877**
31 December 2021					
Expected loss rate	0.48%	0.53%	3.01%	38.62%	
Gross carrying amount	52,160,885	1,776,167	1,111,466	32,847,858	87,896,376
Loss provision	250,777	9,425	33,415	12,684,684	12,978,301

Impairment allowance for loans and advance to customers

A reconciliation of the provision for impairment losses for loans and advances to customers is as follows:

Balance at 1 January	**12,978,301**	12,418,983
Provisions for losses on loans and advances to customer	**15,873,257**	15,138,759
Loans written off	**(13,161,681)**	(14,579,441)
Balance at 31 December	**15,689,877**	12,978,301

Notes to the Financial Statements
For the Year Ended 31 December 2022

13 Other assets

	2022 PGK	2021 PGK
Interest receivable	**262,066**	343,025
Prepayments	**586,906**	328,951
Staff advances	**28,536**	18,552
Digicel Cellmoni Wallet	**3,295,819**	775,526
Reimbursement cost	**-**	3,968,669
Interest withholding tax	**273,593**	273,594
Rental deposits	**382,207**	449,353
Sundry debtors	**169,349**	697,299
	4,998,476	6,854,969

The reimbursement cost of K4.0 million was paid in full in 2022. This represents payment from PNGSDP as per the Share Transfer Deed dated on 31 January 2020.

14 Income Tax Expense / (Benefit)

Current tax	**2,328,913**	-
Deferred tax	**(842,043)**	(73,794)
Prior year deferred tax adjustment	**-**	(1,701,181)
	1,486,870	(1,774,975)
Income before tax	**12,909,993**	10,957,807
Income tax expense calculated at 30% (2021: 30%)	**3,872,998**	3,287,342
Permanent difference	**507,285**	46,231
Utilisation of previously unrecognized tax losses	**(2,893,413)**	(3,407,372)
Prior year deferred tax adjustment	**-**	(1,701,176)
	1,486,870	(1,774,975)
Deferred tax movement		
Opening balance	**6,103,720**	4,328,745
Prior year deferred tax adjustment	**-**	1,701,181
Net movement for the year	**(1,486,870)**	73,794
	4,616,850	6,103,720

A deferred tax asset of Knil (2021: K2.9 million) in respect of tax losses has not been recognised as it is not yet probable that future taxable profits will be available against which these deferred tax assets can be utilised.

Notes to the Financial Statements
For the Year Ended 31 December 2022

14 Income Tax Expense / (Benefit) (continued)

Deferred tax balances comprise the tax effect of:

	2022 PGK	2021 PGK
Tax losses	**1,401,344**	3,730,255
Provision for impairment losses	**2,008,060**	1,424,111
Employee benefit provisions	**530,112**	306,956
Other provisions / accruals	**63,994**	63,000
Fixed assets	**684,438**	542,848
Lease liability	**1,473,507**	2,113,906
Arising from business combination	**(17,131)**	(25,396)
Prepayments	**(147,818)**	(67,264)
Right-of-use assets	**(1,379,656)**	(1,984,696)
	4,616,850	6,103,720

15 Deposits from customers

Demand deposits	**84,813,322**	75,779,084
Term deposits current	**41,479,861**	42,442,096
	126,293,183	118,221,180

16 Other liabilities

Withholding tax payable	**549,927**	564,409
Accrued interest	**650,514**	617,351
Accrued expenses	**833,005**	937,078
Sundry payables	**3,069,267**	1,968,059
Funds guaranteed on behalf of others	**1,071,510**	1,561,683
	6,174,223	5,648,580

There is no interest charged on payables.

Funds guaranteed on behalf of others represent funds held as collateral for loans disbursed under arrangements with various statutory bodies and district councils.

17 Provisions

Provision for annual leave	**132,465**	92,177
Provision for long service leave	**1,634,576**	931,010
	1,767,041	1,023,187

18 Borrowings

PNGSDP agreed to convert K4.0 million of its term deposits held with PML to a subordinated debt due from MiBank. The subordinated loan has a term of 60 months (original term was 30 months) from the Share Transfer Deed dated on 31 January 2020, with 1.25% interest annually. The carrying amount of the subordinated debt as at 31 December 2022 amounted to K3,942,898 (2021: K3,915,347).

Notes to the Financial Statements
For the Year Ended 31 December 2022

19 Property, plant and equipment

	Leasehold Improvements PGK	Furniture, Fixtures and Fittings PGK	Motor Vehicles PGK	Computer Equipment PGK	Capital Work in Progress PGK	Total PGK
Cost						
At 1 January 2021	3,837,342	712,113	3,359,433	6,680,002	423,152	15,012,042
Transfers	423,152	-	-	-	(423,152)	-
Additions	911,361	32,753	752,860	354,927	103,977	2,155,878
Disposals	-	-	(822,033)	-	-	(822,033)
At 31 December 2021 / 1 January 2022	**5,171,855**	**744,866**	**3,290,260**	**7,034,929**	**103,977**	**16,345,887**
Additions	**3,590**	**15,395**	**664,679**	**533,375**	**105,653**	**1,322,692**
Disposals	**-**	**-**	**(469,427)**	**-**	**-**	**(469,427)**
At 31 December 2022	**5,175,445**	**760,261**	**3,485,512**	**7,568,304**	**209,630**	**17,199,152**
Accumulated depreciation						
At 1 January 2021	(1,807,839)	(650,026)	(2,238,228)	(5,378,655)	-	(10,074,748)
Depreciation for the year	(641,073)	(40,753)	(453,285)	(595,292)	-	(1,730,403)
Disposals	-	-	802,624	-	-	802,624
At 31 December 2021 / 1 January 2022	**(2,448,912)**	**(690,779)**	**(1,888,889)**	**(5,973,947)**	**-**	**(11,002,527)**
Depreciation for the year	**(816,869)**	**(25,632)**	**(523,485)**	**(565,933)**	**-**	**(1,931,919)**
Disposals	**-**	**-**	**469,427**	**-**	**-**	**469,427**
At 31 December 2022	**(3,265,781)**	**(716,411)**	**(1,942,947)**	**(6,539,880)**	**-**	**(12,465,019)**
Carrying value at 31 December 2021	2,722,943	54,087	1,401,371	1,060,982	103,977	5,343,360
Carrying value at 31 December 2022	**1,909,664**	**43,850**	**1,542,565**	**1,028,424**	**209,630**	**4,734,133**

Notes to the Financial Statements
For the Year Ended 31 December 2022

20 Leases

(a) Leases as lessee

The leases typically run for a period of 5 years, with an option to renew the lease after that date. Lease payments are renegotiated every 5 years to reflect market rentals. Some leases provide for additional rent payments that are based on changes in local price indices. For certain leases, the Company is restricted from entering into any sub lease arrangements.

Information about leases for which the Company is a lessee is presented below:

(i) Right-of-use assets

	2022 PGK	2021 PGK
Balance at 1 January	**6,615,653**	8,471,478
Additions	**-**	768,605
Depreciation for the year	**(2,016,799)**	(2,515,173)
Effect of modification/termination	**-**	(109,257)
Balance at 31 December	**4,598,854**	6,615,653

(ii) Lease liabilities

Balance at 1 January	**7,046,350**	9,001,483
Additions	**-**	768,605
Accretion of interest	**326,669**	420,721
Effect of modification/termination	**-**	(189,065)
Finance cost paid	**(326,669)**	(420,721)
Repayment	**(2,134,661)**	(2,534,673)
Balance at 31 December	**4,911,689**	7,046,350

Undiscounted lease liabilities

Maturity analysis – contractual undiscounted cash flows:

Within one year	**1,668,010**	2,162,119
Later than one year but not later than two years	**2,175,882**	2,989,441
Later than two years	**1,067,797**	1,894,790
Balance at 31 December	**4,911,689**	7,046,350

(iii) Amount recognised in statement of profit or loss and other comprehensive income

Depreciation expense of right-of-use assets	**2,016,799**	2,515,173
Interest on lease liabilities	**326,669**	420,721
Short-term leases classified as operating expenses	**693,163**	625,413
Short-term leases classified as personnel expenses	**974,530**	1,590,451
	4,011,161	5,151,758

(iv) Amounts recognised in statement of cash flows

Total cash outflow for leases	**2,461,330**	2,955,394

Notes to the Financial Statements
For the Year Ended 31 December 2022

21 Goodwill

	2022 PGK	2021 PGK
Balance at 1 January	**1,616,973**	1,616,973
Write off	**(1,616,973)**	-
	-	1,616,973

On 31 January 2020, the Company acquired PNG Microfinance Limited (PML) which resulted to a positive goodwill of K1,616,973. This goodwill was written off as at 31 December 2022 since PML operations and products have been fully amalgamated to the Company.

22 Share capital

Issued share capital		
12,688,506 shares of K1 each fully paid	**12,688,506**	12,688,506
2,239,148 shares of K1 each fully paid	**2,575,020**	2,575,020
	15,263,526	15,263,526

23 Capital adequacy

The Company is required to comply with prudential standards issued by the Bank of Papua New Guinea (BPNG), the official authority for the prudential supervision of banks and similar financial institutions in Papua New Guinea. All banks are required to maintain at least the minimum acceptable measure of capital to risk-weighted assets to absorb potential losses. The BPNG follows the prudential guidelines set by the Bank of International Settlements under the terms of the Basel Accord. The BPNG revised prudential standard 1/2003, Capital Adequacy, prescribes ranges of overall capital ratios to measure whether a bank is under, adequately, or well capitalised, and also prescribes the leverage capital ratio. As at 31 December 2022, the Company's total capital adequacy ratio and leverage capital ratio satisfied the capital adequacy criteria. The minimum capital adequacy requirements set out under the standard are: Tier 1 8%, total risk based capital ratio 12% and the leverage ratio 6%.

The measure of capital used for the purposes of prudential supervision is referred to as base capital. Total base capital varies from the balance of capital shown on the Statement of Financial Position and is made up of tier 1 capital (core) and tier 2 capital (supplementary). Tier 1 capital is obtained by deducting from equity capital and audited retained earnings (or losses), intangible assets including deferred tax assets. Tier 2 capital cannot exceed the amount of tier 1 capital, and can include subordinated loan capital, specified asset revaluation reserves, un-audited profits (or losses) and a small percentage of general loan loss provisions. The leverage capital ratio is calculated as Tier 1 capital divided by total assets on the balance sheet.

Risk weighted assets are derived from on-balance sheet and off-balance sheet assets. On balance sheet assets are weighted for credit risk by applying weightings (0, 20, 50 and 100 per cent) according to risk classification criteria set by the BPNG. Off-balance sheet exposures are risk weighted in the same way after converting them to on-balance sheet credit equivalents using BPNG specified credit conversion factors.

Notes to the Financial Statements
For the Year Ended 31 December 2022

23 Capital adequacy (continued)

The Company's capital adequacy level is as follows (unaudited):

	2022 PGK	2021 PGK
Core capital (K'000)	**13,876**	(1,961)
Supplementary capital (K'000)	**13,876**	(1,961)
Risk weighted assets (K'000)	**94,883**	97,142
Tier 1 capital adequacy ratio	**14.6%**	-2.0%
Total capital adequacy ratio	**29.3%**	-4.0%
Leverage capital ratio	**7.8%**	-1.3%

24 Financial risk management

The Company's Board of Directors has overall responsibility for the establishment and oversight of the Company's risk management framework. The Board of Directors has established the risk management committee, which is responsible for developing and monitoring the Company's risk management policies. The committee reports regularly to the Board of Directors on its activities.

The Company's risk management policies are established to identify and analyse the risks faced by the Company, to set appropriate risk limits and controls and to monitor risks and adherence to limits. Risk management policies and systems are reviewed regularly to reflect changes in market conditions and the Company's activities. The Company, through its training and management standards and procedures, aims to maintain a disciplined and constructive control environment in which all employees understand their roles and obligations.

(a) Credit risk

Credit risk is the likelihood of future financial loss resulting the failure of clients or counter-parties to meet contractual obligations to the Company as they fall due. Credit risk is managed by analysing risk spread across various sectors of the economy. The Credit Committee is responsible for the development and implementation of credit policy and loan portfolio review methodology.

(i) Credit quality analysis

The following table set out information about the overdue status of loans and advances to customers in stages.

Loans and advances to customers at amortised cost-gross carrying amount.

	2022			
	Stage 1 PGK	**Stage 2 PGK**	**Stage 3 PGK**	**Total PGK**
Current	**51,763,641**	**231,792**	**-**	**51,995,433**
Overdue < 30 days	**10,324,807**	**68,678**	**-**	**10,393,485**
Overdue > 30 days	**-**	**2,816,368**	**-**	**2,816,368**
30 to 90 days	**-**	**-**	**25,249,692**	**25,249,692**
	62,088,448	**3,116,838**	**25,249,692**	**90,454,978**

24 Financial risk management (continued)

(a) Credit risk (continued)

(i) Credit quality analysis (continued)

	2021			
	Stage 1 PGK	Stage 2 PGK	Stage 3 PGK	Total PGK
Current	48,233,441	145,504	-	48,378,945
Overdue < 30 days	8,894,685	-	-	8,894,685
Overdue > 30 days	-	2,887,634	-	2,887,634
30 to 90 days	-	-	27,735,112	27,735,112
	57,128,126	3,033,138	27,735,112	87,896,376

The loss allowance recognised in the year is impacted by a variety of factors, as described below:

- Transfers between Stage 1 and Stages 2 or 3 due to financial instruments experiencing significant increases (or decreases) of credit risk or becoming credit-impaired in the period, and the consequent "step up" (or "step down") between 12-month and Lifetime ECL;
- Net financial assets originated, which includes additional allowances for new financial instruments recognised during the period, net of releases for financial instruments de-recognised in the period; and
- Movement in risk parameters and other changes arising from regular refreshing of inputs to models, and other movements.

Breakdown of exposure at default and impairment provision in stages is set out in the table below:

EAD - Loans and receivables from customers	**Stage 1 PGK**	**Stage 2 PGK**	**Stage 3 PGK**	**Total PGK**
At 1 January 2022	**57,128,126**	**3,033,138**	**27,735,112**	**87,896,376**
Transfers:				
Transfer from Stage 1 to Stage 2	**(1,828,577)**	**1,828,577**	**-**	**-**
Transfer from Stage 1 to Stage 3	**(2,382,581)**	**-**	**2,382,581**	**-**
Transfer from Stage 2 to Stage 3	**-**	**(426,842)**	**426,842**	**-**
Transfer from Stage 2 to Stage 1	**594,803**	**(594,803)**	**-**	**-**
Transfer from Stage 3 to Stage 2	**-**	**308,671**	**(308,671)**	**-**
Transfer from Stage 3 to Stage 1	**407,176**	**-**	**(407,176)**	**-**
New financial assets originated, net of repayment	**8,169,501**	**(1,031,903)**	**(4,578,996)**	**2,558,602**
Total movement in EAD during 2022	**4,960,322**	**83,700**	**(2,485,420)**	**2,558,602**
At 31 December 2022	**62,088,448**	**3,116,838**	**25,249,692**	**90,454,978**

Notes to the Financial Statements
For the Year Ended 31 December 2022

24 Financial risk management (continued)

(a) Credit risk (continued)

(i) Credit quality analysis (continued)

ECL - Loans and receivables from customers	Stage 1 PGK	Stage 2 PGK	Stage 3 PGK	Total PGK
At 1 January 2022	**249,321**	**44,295**	**12,684,685**	**12,978,301**
Transfers:				
Transfer from Stage 1 to Stage 2	**(7,057)**	**7,057**	**-**	**-**
Transfer from Stage 1 to Stage 3	**(12,195)**	**-**	**12,195**	**-**
Transfer from Stage 2 to Stage 3	**-**	**(3,873)**	**3,873**	**-**
Transfer from Stage 2 to Stage 3	**10,196**	**(10,196)**	**-**	**-**
Transfer from Stage 3 to Stage 2	**-**	**33,136**	**(33,136)**	**-**
Transfer from Stage 3 to Stage 1	**91,813**	**-**	**(91,813)**	**-**
Movements due to risk parameter and other changes	**(108,592)**	**(17,580)**	**4,064,200**	**3,938,028**
Net financial assets originated	**256,658**	**23,280**	**11,655,291**	**11,935,229**
Loans written-off	**(13,020)**	**(25,195)**	**(13,123,466)**	**(13,161,681)**
At 31 December 2022	**467,124**	**50,924**	**15,171,829**	**15,689,877**

EAD - Loans and receivables from customers	Stage 1 PGK	Stage 2 PGK	Stage 3 PGK	Total PGK
At 1 January 2021	55,916,407	5,072,471	33,971,026	94,959,904
Transfers:				
Transfer from Stage 1 to Stage 2	(2,022,562)	2,022,562	-	-
Transfer from Stage 1 to Stage 3	(4,434,112)	-	4,434,112	-
Transfer from Stage 2 to Stage 3	-	(1,397,563)	1,397,563	-
Transfer from Stage 2 to Stage 1	1,229,878	(1,229,878)	-	-
Transfer from Stage 3 to Stage 2	-	316,998	(316,998)	-
Transfer from Stage 3 to Stage 1	800,825	-	(800,825)	-
New financial assets originated, net of repayment	5,637,690	(1,751,452)	(10,949,766)	(7,063,528)
Total movement in EAD during 2021	1,211,719	(2,039,333)	(6,235,914)	(7,063,528)
At 31 December 2021	57,128,126	3,033,138	27,735,112	87,896,376

24 Financial risk management (continued)

(a) Credit risk (continued)

(i) Credit quality analysis (continued)

ECL - Loans and receivables from customers	Stage 1 PGK	Stage 2 PGK	Stage 3 PGK	Total PGK
As at 1 January 2021	926,892	360,546	11,131,545	12,418,983
Transfers:				
Transfer from Stage 1 to Stage 2	(22,324)	22,324	-	-
Transfer from Stage 1 to Stage 3	(61,388)	-	61,388	-
Transfer from Stage 2 to Stage 3	-	(5,766)	5,766	-
Transfer from Stage 2 to Stage 1	5,539	(5,539)	-	-
Transfer from Stage 3 to Stage 2	-	41,920	(41,920)	-
Transfer from Stage 3 to Stage 1	116,445	-	(116,445)	-
Movements due to risk parameter and other changes	(389,767)	(180,866)	2,199,183	1,628,550
Net financial assets originated	(272,953)	(21,152)	13,804,314	13,510,209
Loans written-off	(53,123)	(167,172)	(14,359,146)	(14,579,441)
As at 31 December 2021	249,321	44,295	12,684,685	12,978,301

The general creditworthiness of a customer tends to be the most relevant indicator for credit quality of a loan extended to it. However, collateral provides additional security and the Company generally requests that borrowers provide it. The Company may take collateral in the form of deposits.

	2022		2021	
	Carrying amount PGK	**Collateral PGK**	Carrying amount PGK	Collateral PGK
Stage 1 and 2	**65,205,287**	**17,119,553**	60,161,264	17,617,304
Stage 3	**25,249,691**	**21,172,183**	27,735,112	36,188,877
	90,454,978	**38,291,736**	87,896,376	53,806,181

Notes to the Financial Statements
For the Year Ended 31 December 2022

24 Financial risk management (continued)

(a) Credit risk (continued)

(ii) Allowance for Expected Credit Losses

Significant increase in credit risk

When determining whether the risk of default on the financial instrument has increased significantly since initial recognition, the Company considers reasonable and supporting information that is relevant and available without undue cost or effort. This includes both quantitative and qualitative information and analysis, based on the Company's historical experience and forward-looking information. The objective of the assessment is to identify whether a there has been a significant increase in credit risk and if so, the change in the remaining lifetime probability of default (PD) compared to the PD at initial recognition.

The Company uses three criteria for determining whether there has been a significant increase in credit risk:
- a quantitative test based on movement in PD
- qualitative indicators; and
- a backstop of 30 days past due.

Definition of default

The Company considers a financial asset to be a default when:

- the borrower is unlikely to pay its credit obligations to the Company in full, without recourse by the Company to action such as realising security;
- the borrower is more than 90 days past due on any material credit obligation to the Company. Overdrafts are considered as being past due once the customer has breached an advised limit or been advised of a limit smaller than the current amount outstanding; or
- it is becoming probable that the borrower will restructure the asset as a result of bankruptcy due to the borrower's inability to pay its credit obligations;
- in assessing whether a borrower is in default, the Company considers indicators that are:
    - qualitative: e.g., breaches of covenant;
    - quantitative: e.g., overdue status and non-payment on another obligation of the same issuer to the Company; and
- based on data developed internally and obtained from external sources.

Inputs into the assessment of whether a financial instrument is a default and their significance may vary over time to reflect changes in circumstances.

The definition of default largely aligns with that applied by the Company for regulatory capital purposes.

Notes to the Financial Statements
For the Year Ended 31 December 2022

24 Financial risk management (continued)

(a) Credit risk (continued)

(ii) Allowance for Expected Credit Losses (continued)

Large credit exposure

Large credit exposures ("LCE") are monitored as part of credit risk management. These are the top 25 loan relationships or loan balances of the Company. As at 31 December, details of LCE are as follows:

	2022	2021
	PGK	PGK
Top 25 LCE	**4,598,163**	4,754,146
Percentage of LCE to total loans before provision	**5.08%**	5.41%
Percentage of LCE to total capital base	**15.37%**	25.71%

Incorporation of forward-looking information

The Company incorporates forward-looking information into both the assessment of whether the credit risk of an instrument has increased significantly since its initial recognition and the measurement of ECL.

The Company formulates three economic scenarios: a base case, which is the central scenario developed internally based on consensus forecasts, and two less likely scenarios, one upside, which is the modest improvement on the base case scenario and one downside scenario, which represents a moderate recession. The central scenario is aligned with information used by the Company for other purposes such as strategic planning and budgeting.

	2022			2021		
	Upside	Central	Downside	Upside	Central	Downside
Scenario probability weighting	**10%**	**70%**	**20%**	10%	70%	20%

Sensitivity analysis

The ECL are sensitive to judgements and assumptions made regarding formulation of forward-looking scenarios and how much scenarios are incorporated into the calculations. Management performs a sensitivity analysis on the ECL by considering impact of their possible changes in different scenarios. Set out below are the changes to the ECL as at 31 December 2022:

- If weight of upside scenario remained at 10%, downside scenario increased from 20% to 40% and base scenario decreased from 70% to 50%, impairment provision would increase by PGK608,473.

- If weight of upside scenario decreased from 10% to 0%, downside scenario increased from 20% to 30% and base scenario increased remained at 70%, impairment provision would increase by PGK414,093.

24 Financial risk management (continued)

(a) Credit risk (continued)

(ii) Allowance for Expected Credit Losses (continued)

Measurement of ECL

The key inputs into the measurement of ECL are the term structure of the following variables:

- probability of default (PD);
- loss given default (LGD); and
- exposure at default (EAD).

ECL for exposures in Stage 1 are calculated by multiplying the 12-month PD by LGD and EAD. Lifetime ECL are calculated by multiplying the lifetime PD by LGD and EAD.

PD represents the likelihood of a borrower defaulting on its financial obligation, either over the next 12 months, or over the remaining lifetime of the obligation.

EAD is based on the amounts the Company expected to be owed at the time of default, over the next 12 months or over the remaining lifetime.

LGD is the magnitude of the likely loss if there is a default. The Company estimates LGD parameters based on the history of recovery rates of claims against defaulted counterparties. The LGD models consider the structure, collateral, seniority of the claim, counterparty industry and recovery costs of any collateral that is integral to the financial asset.

(iii) Write off policy

The Company may consider write off of loan receivables following default which is 90 days in arrears. Loans in arrears in excess of 360 days (unless collection is in process) are in normal process written off, as well as other financial assets, which are overdue less than 360 days, if the Company assesses that there is no reasonable expectation of their recovery (i.e., that recovery of full amounts is not probable). Indicators that there is no reasonable expectation of recovery include (i) loans being overdue more than 360 days; (ii) low likelihood of successful enforcement activity; and (iii) where the Company's recovery method is foreclosing on collateral and the value of the collateral is such that there is no reasonable expectation of recovering in full.

The Company may write-off financial assets that are still subject to enforcement activity. The Company still seeks to recover amounts it is legally owed in full, but which have been written off due to no reasonable expectation of fully recovery.

Recoveries of amounts previously written off are recognised when cash is received and are included in impairment losses on 'financial instruments' in the statement of profit or loss and other comprehensive income.

Notes to the Financial Statements
For the Year Ended 31 December 2022

24 Financial risk management (continued)

(a) Credit risk (continued)

(iv) Modification of financial assets

The Company may modify the terms of loans through re-scheduling through commercial renegotiations, for distressed loans, with a view to assisting a borrower under stress and/or maximizing recovery. Company's practice is not to use renegotiation and/ or restructuring of loans and advances to customers in managing credit risk. During this period, the Company primarily relied on its monitoring and collection activities, including regular communication with overdue customers, as well as enforcement activities in case of collateralized loans. In accordance with its business model, in case of defaulted loans, the Company ensured that sufficient impairment provision is created, and necessary write offs made in accordance with its write off policy, as these losses were compensated by the Company's interest rate margin. Therefore, the Company had no modified financial assets as at 31 December 2022 (2021:Knil) and there were no cases of modification of loans during the year that would result either in derecognition of loans or recognition of gain or loss on modification.

(v) Collateral and other credit enhancements

To mitigate its credit risks on financial assets, the Company seeks to use collateral, where possible. The Company has internal policies on the acceptability of specific classes of collateral or credit risk mitigation. The collateral comes in various forms. The principal collateral types for loans and advances are:

- Cash deposits
- Fixed assets such as vehicles and other property
- Mortgages over residential properties

The Company prepares a valuation of the collateral obtained as part of the loan origination process.

The Company's policies regarding obtaining collateral have not significantly changed during the reporting period and there has been no significant change in the overall quality of the collateral held by the Company since the prior period.

The Company closely monitors collateral held for financial assets considered to be credit-impaired, as it becomes more likely the Company will take possessions of collateral to mitigate potential credit losses.

Notes to the Financial Statements
For the Year Ended 31 December 2022

24 Financial risk management (continued)

(b) Liquidity risk

Liquidity risk is the risk of being unable to meet financial obligations as they fall due. The Board, sets liquidity policy to ensure that the Company has sufficient funds to meets all its known and potential obligations.

Short-term mismatch of asset and liability maturity

The maturity profile of material Assets and Liabilities is shown in the following schedule. The mismatching of maturity of assets and liabilities indicates an apparent negative net "current" asset position. However, mismatched positions are established and managed to achieve profit opportunities that arise from them, particularly in a normal yield curve environment. Accordingly, this mismatched maturity position is considered manageable by the Company, and does not impair the ability of the Company to meet its financial obligations as they fall due.

(i) Maturity analysis for financial liabilities and financial assets

31 December 2022	**Less than 12 months**	**1-2 years**	**2+ years**	**Total**
Cash and cash equivalents	**29,957,563**	**-**	**-**	**29,957,563**
Investments held with Central bank	**48,833,749**	**-**	**500,000**	**49,333,749**
Loans and advances to customers	**30,238,259**	**40,903,635**	**19,313,084**	**90,454,978**
Other financial assets	**3,557,885**	**-**	**-**	**3,557,885**
	112,587,456	**40,903,635**	**19,813,084**	**173,304,175**
Deposits from customers	**126,293,183**	**-**	**-**	**126,293,183**
Other financial liabilities	**2,354,351**	**-**	**-**	**2,354,351**
Lease liability	**1,668,010**	**2,175,882**	**1,067,797**	**4,911,689**
Borrowings	**-**	**-**	**3,942,898**	**3,942,898**
	130,315,544	**2,175,882**	**5,010,695**	**137,502,121**

31 December 2021	Less than 12 months	1-2 years	2+ years	Total
Cash and cash equivalents	18,004,275	-	-	18,004,275
Investments held with Central bank	34,390,188	-	500,000	34,890,188
Loans and advances from customers	37,771,872	40,133,093	9,991,411	87,896,376
Other financial assets	1,118,551	-	-	1,118,551
	91,284,886	40,133,093	10,491,411	141,909,390
Deposits from customers	118,221,180	-	-	118,221,180
Other liabilities	5,648,580	-	-	5,648,580
Lease liability	2,162,119	2,989,441	1,894,790	7,046,350
Borrowings	-	-	3,915,346	3,915,346
	126,031,879	2,989,441	5,810,136	134,831,456

Notes to the Financial Statements
For the Year Ended 31 December 2022

24 Financial risk management (continued)

(b) Liquidity risk (continued)

(ii) Fair value measurements

As at reporting date the carrying value of the financial instruments approximated their fair value. The fair value of long-term financial assets and liabilities are estimated by discounting the future contractual cash flows at the current market interest rate that is available to the Company for similar instruments.

(c) Operational risk

Operational risk is the potential exposure to unexpected financial or non-financial losses arising from the way in which the Company conducts its business. Operational risk is managed through formal policies, documented procedures, business practices and compliance monitoring.

(d) Capital risk

The Company manages its capital through profit maximisation in order to provide a return to its shareholders. The Company accepts deposits as a means of funding its lending activities. Excess funds are traded into short term financial market instruments such as treasury bills and Central Bank bills.

(e) Market risk

(i) Currency risk

Transactions in foreign currencies are insignificant and therefore exposure of the Company to the fluctuation in foreign exchange rates is minimal.

(ii) Price risk

The Company is not exposed to significant equity securities price risk arising as it has no equity securities.

Notes to the Financial Statements
For the Year Ended 31 December 2022

24 Financial risk management (continued)

(e) Market risk (continued)

(iii) Interest rate risk

Interest rate risk in the statement of financial position arises from the potential for a change in interest rate to have an adverse effect on the revenue earnings in the current reporting period and future years. As interest rates and yield curves change over time, the Company may be exposed to a loss in earnings due to the effects of interest rates on the structure of the statement of financial position. Sensitivity to interest rates arises from mismatches in the re-pricing dates, cash flows and other characteristics of the assets and their corresponding liability funding.

These mismatches arise mainly in the short-term interest rate repricing bucket as the Company does not offer longer-term Kina fixed rate products. There are also no interest rate derivative products in the local market to facilitate the close-out of this interest rate risk mismatch. The interest rate risk is actively managed as part of the overall interest rate risk management process governed by the Board, which meets regularly to review the effects of fluctuations in the prevailing levels of market interest rates on the financial position and cash flows of the Company. The objective of interest rate risk control is to minimise these fluctuations in value and net interest income over time, providing secure and stable sustainable net interest earnings in the long term.

The table below illustrates the interest sensitivity of financial assets and liabilities at the balance date. Given the profile of assets and liabilities as at 31 December 2022, 1% (2021: 1%) increase or decrease in rates will impact the Company's net interest income as follows:

	Outstanding balance PGK	**Changes in interest rates**	**Effect on net interest income PGK**
31 December 2022			
Cash and cash equivalents	**29,957,563**		
Loans and advances to customers	**74,765,101**		
Investments held with Central bank	**49,333,749**		
	154,056,413	**+/-1%**	**1,540,564**
31 December 2021			
Cash and cash equivalents	18,004,275		
Loans and advances to customers	74,918,075		
Investments held with Central bank	34,890,188		
	127,812,538	+/-1%	1,278,125

Notes to the Financial Statements
For the Year Ended 31 December 2022

25 Related parties

(a) Related party register

The following details are recorded in the interest register:

Name	Nature of interest	Company
Peter John Aitsi	Chairman	PNG FM Limited
		Steamships Trading Company Limited
Jason Robert McIlvena	Director	AON Master Trust Ltd.
Paul Mcvincent Nindipa	Director	NKA Accountants
	Director	Allhambra Limited
	Director	Matthew Gollan Design and Development (PNG) Limited
Wavie Ruth Anne Kendino	Director	Pacific Health Placements Limited
Arthur Vera	Director	Asia Pacific Communication Specialist Ltd.
	Director	Bakerite Limited

(b) Directors' remuneration

	2022 PGK	2021 PGK
Peter John Aitsi	**73,500**	-
Allan Marlin (retired on 5 April 2022)	**52,500**	84,000
Jason Robert McIlvena	**63,000**	63,000
Paul Mcvincent Nindipa	**63,000**	63,000
Carol Kidu (retired on 20 May 2022)	**15,750**	63,000
Wavie Ruth Anne Kendino	**63,000**	63,000
Arthur Vera	**63,000**	-
	393,750	336,000

(c) Loans to related parties

Loans to related parties is comprise of staff loans. These short-term loans are provided at marginal discounts on interest rates and specific fee concessions. These benefits are mainly percentage-based on market rates and fees which subject to underlying market trends. As at 31 December 2022, staff account balances were as follows:

Staff loans	**3,618,087**	3,065,864

(d) Compensation of key management personnel

The remuneration of Directors and key executives is determined by the remuneration committee having regard to the performance of individuals and market trends.

Short-term benefits	**2,886,387**	2,390,900

Notes to the Financial Statements
For the Year Ended 31 December 2022

26 Contingent liabilities

A number of legal proceedings against the Company were outstanding as at 31 December 2022. For all litigation exposure where a loss is probable, an appropriate provision has been made. Based on information available at 31 December 2022, the Company estimates a contingent liability of K2,020,626 (2021: K1,926,043) in respect of these proceedings.

27 Capital expenditure commitments

There are no material capital commitments as at 31 December 2022 (2021: Knil).

28 Events after the reporting period

There has been no other transactions or events of a material and unusual nature between the end of reporting period and date of the report likely, in the opinion of the Directors of the Company, to affect significantly the operations of the Company, the results of those operations, or state of the Company in future years.